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Cyprus: National Bank Holiday, 2013¹

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Yale Program on Financial Stability Case Study

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Abstract

The Greek government debt crisis was especially hard on the two largest Cypriot banks. Bank of Cyprus (BoC) and Laiki Bank lost EUR 1.8 billion and EUR 2.3 billion, respectively, on their Greek government bonds after the European Union (EU) decision in October 2011 to haircut the bonds. Over the next year, Laiki Bank faced severe liquidity problems from depositor withdrawals, the Central Bank of Cyprus (CBC) extended to it significant emergency liquidity assistance, and the government owned 84% of the bank after injecting EUR 1.8 billion. The Cypriot economy also suffered negative effects and in March 2013, authorities negotiated a EUR 10 billion economic adjustment program with the EU, European Central Bank, and International Monetary Fund (together the “troika”) that required authorities to stabilize the two stressed banks without troika funds. Early on Saturday, March 16, the Cypriot government and the Eurogroup, the finance ministers of EU member states using the euro, announced a plan for troika aid that included a one-time tax on all Cypriot bank deposits, although overseas branches of Cypriot banks were excluded. The authorities anticipated depositors would run. While commercial bank branches are closed on Saturdays, the authorities shut down electronic transfers to prevent electronic runs. However, they left ATMs open. After the announcement, depositors emptied ATMs and ran on cooperative banks, which are typically open on Saturdays; the cooperative banks subsequently closed. When the parliament rejected the bank-levy plan on Monday, March 18, a national holiday, the CBC imposed a bank holiday that ultimately lasted 10 days. During the bank holiday, authorities and the troika agreed on a new plan for the banks: Laiki Bank would be resolved, and BoC would be restructured. Uninsured depositors in both banks would take losses. Cyprus put in place capital controls and deposit withdrawal restrictions at the end of the bank holiday to avoid excessive liquidity flight. The capital controls were revised multiple times, cash withdrawal restrictions ended in March 2014, and controls were completely removed in April 2015. Uninsured depositors of the two troubled banks were frozen and ultimately bailed in.

Keywords: bail-in, bank holiday, Bank of Cyprus, Cyprus, Laiki Bank

¹ This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering bank holiday and fund suspension programs. A survey of all the cases in this series (Wiggins et. al. 2025) and the cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

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Overview

This case study describes the bank holiday in Cyprus in March 2013.

The Greek government debt crisis, which began in 2009, hit Cypriot banks hard. The two largest banks, Bank of Cyprus (BoC) and Laiki Bank, lost EUR 1.8 billion and EUR 2.3 billion (USD 2.4 billion and USD 3.1 billion),³ respectively, on their Greek government bonds after the European Union (EU) decision in October 2011 to haircut Greek government bonds. Beginning in October 2011 and lasting until the bank’s resolution in 2013, Laiki Bank received collateralized loans from the European Central Bank (ECB) and emergency liquidity assistance (ELA) from the Central Bank of Cyprus (CBC) to make sure the bank could continue to fund itself as depositors withdrew their funding (CBC 2013i; EC 2012). For more information on the ELA provided to Laiki Bank, see Schaefer-Brown (2025).

In late 2011, in response to the crisis, the European Banking Authority identified a EUR 2 billion capital shortfall at Laiki Bank in a stress test of 71 banks across Europe using numbers from September 2011. Around the same time, under the European Directive on Capital Requirements, the College of Supervisors set Laiki Bank’s shortfall at EUR 3.1 billion. In January 2012, Laiki Bank presented a recovery plan to the CBC that included deleveraging, a voluntary exchange offer to bondholders, and a capital increase of EUR 1.8 billion through private investors. When the bank failed to raise capital from private investors, the government agreed in May 2012 to recapitalize the bank and, in June 2012, became an 84% shareholder (CBC 2011; CBC 2013i; Laiki Bank 2012; Noonan

Key Terms

Purpose: To stop bank runs that began on March 16, 2013, following the announcement of a controversial proposal to tax all depositors in Cypriot banks

Announcement Date	Bank holiday: March 18, 2013; Withdrawal restrictions: March 28, 2013
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End Date	Bank holiday: March 28, 2013; Withdrawal restrictions: March 2014
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Legal Authority	Bank holiday: The Cyprus Bank Holiday Law defined bank holidays and gave the governor of the CBC the power to announce additional bank holidays; Withdrawal restrictions: The Emergency Law of 2013, passed on March 27, governed the capital controls and deposit withdrawal restrictions
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Administrators	The CBC
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Communication and Disclosure	Announcements from the president of Cyprus and the Eurogroup regarding a controversial tax on depositors caused bank runs which the holiday was put in place to stop
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Permitted Withdrawals	During the holiday: Withdrawals from ATMs were permitted, and electronic transfers were banned; After the holiday: cash withdrawals limited to EUR 300 per depositor per institution; trade transactions above EUR 5,000 needed CBC approval <i>(continued)</i>
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³ Per Bloomberg EUR 1.00 = USD 1.33 on October 3, 2011.

2013). For more information on the recapitalization of Laiki Bank, see Schaefer-Brown (2024b).

In August, officials from Laiki Bank submitted a restructuring plan to the CBC that would (1) create a “good” bank, separating nonperforming loans into a “bad” bank, and an asset management company; and (2) force losses on senior bondholders while protecting depositors. But the government amended the plan in response to feedback from the troika. The new plan was to put the healthy parts of the bank into a new subsidiary that could be sold once separated from the bank’s Greek branch. But this plan also failed, as depositors continued to pull their funds, partly due to concerns that the government would impose haircuts on depositors (CBC 2013i; Noonan 2013). Over the course of 2012, Laiki Bank lost EUR 2 billion in deposits in its Greek branch and one-third of its domestically raised deposits. These outflows significantly reduced the number of liability holders available to share losses in the bail-in when the bank was ultimately restructured (Dübel 2013; IMF 2014).

Treatment of Depositors or Investors	At the end of the bank holiday, all uninsured deposits of more than EUR 100,000 at the two largest banks were frozen and bailed-in; depositors at other banks were subject to restrictions
Outcomes	The second-largest bank in Cyprus, Laiki Bank, was resolved and the largest bank, BoC, was restructured. Uninsured depositors of Laiki Bank ultimately received 6 cents on the euro; At the BoC, 47.5% of deposits over EUR 100,000 were converted into equity
Notable Features	The bank holiday lasted until Cypriot authorities came to an agreement with the EU; Capital controls were kept in place for two years

In early 2013, ECB authorities estimated that the recapitalization needs of BoC and Laiki Bank were EUR 8 billion, approximately 44% of the GDP of Cyprus. Also in early 2013, the EU and the IMF encouraged the government to downsize the banking sector because it would not be able to afford a recapitalization. In March 2013, the ECB threatened to withdraw its approval of ELA to Laiki Bank, putting further pressure on the government to agree to terms of a bail-out by the troika—the International Monetary Fund (IMF), European Commission (EC), and ECB (CBC 2013i; Draghi 2015).

Throughout this time, Cypriot authorities were in negotiation with the troika for a bailout deal for the government. There would have been precedent for the troika to protect all depositors, since it had done so in other countries and Laiki Bank’s recapitalization needs stemmed from the EU’s decision to haircut Greek government bonds. But the troika made it a condition of its assistance that Cyprus rescue the two banks without official funds, which required Cyprus to impose substantial losses on depositors (ACB 2013; CBC 2013i; Eurogroup 2013b).

On Friday, March 15, 2013, the finance minister of Cyprus agreed to a controversial plan with the Eurogroup, which the Cypriot government and Eurogroup announced early on the morning of March 16; the IMF publicly supported the plan later that day. The deal involved a EUR 10 billion loan to Cyprus; Cyprus would also have to raise EUR 5.8 billion through a

one-time tax on all banking sector deposits, including a 9.9% tax on uninsured deposits (deposits above the EUR 100,000 insurance limit) and a 6.75% tax on insured deposits (IMF 2013b; Noonan 2013; O'Brien 2013). Depositors of Greek branches of Cypriot banks would not be subject to the proposed deposit tax (Reuters 2013b). The plan also did not involve the resolution of either bank.

Officials acted quickly on the morning of Saturday, March 16, to close the payment system, anticipating depositor runs in response to the announcement of the deposit tax (Calamur 2013; CBC 2014). The deposit tax would be based on deposits as of Friday, so officials informed the public that any ATM withdrawals would not reduce their levy. Monday, March 18, was a preexisting national bank holiday, Green Monday. Had parliament approved the proposal, the deposit tax would have been deducted prior to banks reopening on Tuesday (CBC 2013b; Demetriades 2017; Kambas 2013a). However, the House of Representatives rejected the depositor tax on March 18. The CBC then announced a bank holiday on March 18, applicable to all banks, through March 20, as officials sought alternatives to the bank-levy plan (Calamur 2013; CBC 2013c; Eurogroup 2013a). On March 20, the CBC announced a two-day extension of the bank holiday through the end of that week. Monday, March 25, was another preexisting national bank holiday, Greek Independence Day; on this day, the CBC made a final announcement extending the bank holiday through March 27 (CBC 2013d; CBC 2013e; CBC 2013f).

During the bank holiday, after the Cypriot House of Representatives rejected the depositor-tax plan, Cyprus reached out to Russia for help. Previously, Russia had loaned Cyprus EUR 2.5 billion, which Cyprus received in three tranches from 2011 to 2012. However, Russia did not provide Cyprus with further funds when asked for help in March 2013 (ESM 2019).

On March 25, 2018, the Eurogroup announced a new EUR 10 billion aid package that imposed losses only on uninsured depositors of the two troubled banks. Laiki Bank would be resolved immediately and split into a good bank and a bad bank. The BoC would take over the good bank. Insured deposits would be protected; uninsured deposits (over EUR 100,000) would be frozen. The government recapitalized the BoC by bailing in its shareholders and bondholders and converting nearly half of its uninsured deposits into equity; BoC depositors received equity in the restructured BoC. As of 2021, the liquidation of Legacy Laiki appeared to still be in progress (ESM 2013; Hazou 2021). For more information on the resolution of Laiki Bank and the restructuring of the BoC, see Schaefer-Brown (2024a).

Also on March 25, the CBC announced that banks would reopen on March 28 (CBC 2013f; CBC 2013g; Eurogroup 2013b). On March 28, when banks reopened, Cyprus implemented capital controls and depositor restrictions. Under the restrictions, cash withdrawals were limited to EUR 300 per depositor per institution and trade transactions above EUR 5,000 required CBC approval. The capital controls were initially implemented for 7 days but were prolonged and revised 11 times in the following months. Cash withdrawal restrictions were lifted in March 2014, but other restrictions remained in effect until April 2015 (CBC 2013a; CBC 2013j; CBC 2014; EC 2013; EC 2014; Gortsos 2021). Figure 1 shows a timeline of key events in this intervention.

Figure 1: Timeline for the 2013 Bank Holiday in Cyprus

Date	Event
2011	Supervisors identify a EUR 3.1 billion capital shortfall at Laiki Bank.
October 2011	Laiki Bank begins receiving ELA from the CBC and collateralized loans from the ECB.
January 20, 2012	Laiki Bank submits capital plan to the CBC.
April 2, 2012	Laiki Bank board of directors approves capital plan.
May 2012	The CBC confirms the systemic importance of Laiki Bank in a letter to the EC, and Laiki Bank pursues its capital raise.
June 2012	The Cypriot government injects EUR 1.8 billion into Laiki Bank.
June 25, 2012	Cyprus requests aid from the troika.
August 2012	Laiki Bank officials submit a restructuring plan.
March 2013	Laiki Bank stops receiving ELA from the CBC and collateralized loans from the ECB.
March 16, 2013	The Eurogroup and the president of Cyprus announce a controversial plan for the Cypriot bank sector, which involves a one-time stability tax on insured and uninsured depositors.
March 16, 2013	At the direction of the CBC, commercial banks, always closed on Saturdays, prevent electronic transfers but allow ATM withdrawals. Cooperative banks, typically open Saturdays, close shortly after opening in the face of substantial withdrawals.
March 18, 2013	Green Monday, a preexisting national bank holiday. The House of Representatives decides not to adopt the government's proposal for the one-time stability tax agreed with the Eurogroup. The CBC announces banks will be closed on March 19 and 20.
March 20, 2013	The CBC announces the extension of the bank holiday through the end of the week, March 22.
March 25, 2013	Greek Independence Day, a preexisting national bank holiday. The CBC announces the extension of the bank holiday through March 27.
March 25, 2013	Cypriot authorities and the troika announce a new deal including a EUR 10 billion aid package for Cyprus and the plan to put Laiki Bank through resolution and restructure the BoC. The government would guarantee insured deposits at the two banks but deposits above EUR 100,000 were frozen and ultimately bailed in.
March 28, 2013	Cypriot banks reopen. The CBC announces capital controls and restrictions on cash withdrawals to EUR 300 per depositor per account for all other Cypriot banks.
July 30, 2013	BoC announces that it has completed its recapitalization through the bail-in of shareholders, bondholders, and some uninsured deposits.
January 2017	BoC fully repays its ELA and is admitted to listing and trading on the London Stock Exchange.

Source: Author's analysis.

Summary Evaluation

There was widespread criticism of the troika's first proposal, which would have imposed a tax on insured as well as uninsured deposits at all Cypriot banks, treating them differently from other Eurozone depositors. This criticism came from diverse sources such as the UK

chancellor, the Russian president, and the *Wall Street Journal* editorial board. A *Financial Times* article said that the president decided on the taxes of 9.9% on uninsured depositors and 6.75% on insured depositors because he didn't want the tax on uninsured depositors to surpass 10%. The CBC implemented the bank holiday on Monday, March 18, to prevent runs when the deal fell through (CBC 2014; EC 2013; O'Brien 2013; Spiegel 2013; Waterfield and Squires 2013; WSJ 2013).

An IMF report from April 29, 2013, stated that implementation of the bank holiday and capital controls was differentiated by transaction type to minimize disruptions to the payments system and ensure the execution of essential transactions (IMF 2013a, 7).

On September 16, 2013, six months after the "epicenter" of the Cypriot crisis, the IMF's executive director for Cyprus issued a statement saying that social and political tensions appeared to have been fading since March (IMF 2013c, 1). He primarily credits this progress to the assistance provided by the EU-IMF support package, which required the bail-in of uninsured depositors. The statement lists the bank holidays, capital controls, and restrictions on cash withdrawals as the actions the Cypriot government implemented during the epicenter of the crisis to address the two failing banks and stabilize the system (IMF 2013c, 1).

At the time, the Association of Cyprus Banks noted that the troika required, as a condition for aid, that Cyprus impose losses on uninsured depositors in Cyprus, whereas depositors in other countries had been protected by aid by the EU. The Association of Cyprus Banks took issue with the troika's inconsistent decision in its 2012–2013 annual report: "It is important to point out that the bank recapitalization needs originated after the October 2011 EU political decision to apply a haircut on Greek Government Bonds" (ACB 2013, 22). The same annual report further stated that "the haircut wiped out EUR 4.5 billion from the capital of the three largest Cypriot banks" and that "despite the loss caused by that decision, the troika insisted that the EUR 5.8 billion required for the recapitalization of [Laiki Bank and BoC] would be extracted from private sources (bail-in)" (ACB 2013, 22).

A report from the CBC on March 30, 2013, immediately following the resolution of Laiki Bank, defended the actions of the governor of the central bank in resolving the bank. The report said that given the political decisions of the Eurogroup, the governor "prevented a disorderly bankruptcy of Laiki and consequently the country itself" through his "timely statements and actions" (CBC 2013i).

Around the same time, in an April 15 letter to ECB President Draghi, the president of Cyprus criticized the governor of the CBC, saying that the governor had "failed to regulate" the banking system effectively and that he had permitted Laiki Bank to continue to receive ELA throughout 2012 despite being insolvent (Kambas 2013b). The president highlighted the governor's decision not to annul the ELA to Laiki Bank and his aim of holding elections in February 2013 as evidence of the governor's failing to effectively regulate and supervise the banking system. Then, according to the president, the "ECB's warning that it would pull the plug on ELA to Cyprus' banks forced Cyprus into accepting "tough rescue terms" (Kambas 2013b). The president also launched a study on what caused the collapse of the Cypriot

economy. This study concludes that Laiki Bank was insolvent before the haircut of Greek bonds (NYT 2014).

A CBC presentation in May 2022 highlights issues faced and lessons learned in regard to the Cypriot financial crisis. One issue the presentation highlights is that there was an impact on the real economy and economic activity slowed down. Another issue addressed by the CBC was that the new shareholders of the BoC were “dissatisfied and aggrieved former depositors” who became shareholders by force (CBC 2022, 9–12). Additionally, the bailed-in deposits resulted in defaults on loan repayments, and the situation led to “thousands of court actions against” the CBC, BoC, and the government (CBC 2022, 9–12).

According to sources at the ESM, since the COVID-19 pandemic, Cyprus has made positive developments in terms of financial stability and debt. Cyprus regained investment-grade ratings from all major rating agencies in September 2023, which the country had lost in 2012.

Context: Cyprus 2012–2013	
GDP (SAAR, nominal GDP in USD)	\$25.0 billion in 2012
	\$24.0 billion in 2013
GDP per capita (SAAR, nominal GDP in USD)	\$28,991.9 in 2012
	\$27,797.5 in 2013
Sovereign credit rating (long-term debt)	Moody's: B3 *- in 2012
	S&P: CCC+ in 2012
	Fitch: BB- in 2012
	Moody's: Caa3 in 2013
	S&P: B- in 2013
	Fitch: CCC in 2013
Size of banking system	\$8.4 billion in 2012
	\$7.2 billion in 2013
Size of banking system as a % of GDP	33.6% in 2012
	30% in 2013
Size of banking system as a % of financial system	Data not available in 2012
	Data not available in 2013
Five-bank concentration of banking system	97.4% in 2012
	97.6% in 2013
Foreign involvement in banking system	Data not available in 2012
	Data not available in 2013
Existence of deposit insurance	Yes in 2012
	Yes in 2013

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

1. Purpose: Authorities declared the bank holiday to prevent runs following the announcement of a controversial plan involving a tax on depositors.

On Friday March 15, 2013, the finance minister of Cyprus and the Eurogroup negotiated a controversial resolution plan for Laiki Bank and BoC as a condition to the troika funding a EUR 10 billion economic adjustment program for Cyprus. Since the program funds could not be used to stabilize the banks, Cyprus proposed raising EUR 5.8 billion through a one-time tax on all banking sector deposits, representing a 9.9% tax on uninsured deposits (deposits above EUR 100,000) and a 6.75% tax on insured deposits (Noonan 2013; O'Brien 2013). At this time the Cypriot banking sector was around 675% of the country's GDP and the banks didn't have sufficient bail-in-able debt, meaning neither the Cypriot government nor the banks could have borne the cost of stabilization without bailing in depositors. On March 16, the Eurogroup released a statement on this decision and the following day the president of Cyprus made a televised statement regarding the decision (Calamur 2013; Dübel 2013; Eurogroup 2013a).

Officials acted quickly on the morning of Saturday, March 16, to close the payment system, anticipating depositor runs in response to the announcement of the deposit tax. The deposit tax would be based on deposits as of Friday, so officials informed the public that any ATM withdrawals would not reduce their levy. Monday, March 18, was a preexisting national bank holiday, Green Monday. Had parliament approved the proposal, the deposit tax would have been deducted prior to banks reopening on Tuesday (CBC 2014; Demetriades 2017; Reuters 2013a). On Monday March 18, the House of Representatives declined to approve the plan and the one-time stability tax, creating a vacuum.

To prevent bank runs while the government considered alternatives to the failed deposit-tax plan, the CBC initiated the bank holidays on Monday, March 18 (CBC 2014, 32). The initial announcement did not include a reopening date. The CBC extended the banking holiday multiple times until announcing on March 25 that the banks would reopen on March 28⁴ (CBC 2013b; CBC 2013c; CBC 2013d; CBC 2013e; CBC 2013f; CBC 2014; EC 2013). During the bank holiday, Cypriot authorities downsized the Cypriot banking sector through the resolution of Laiki Bank, its second largest bank, the restructuring of the BoC, its largest bank, and the sale of all Cypriot banks operations in Greece to a Greek bank, Piraeus. This process preserved all insured depositors at the two banks. These measures reduced the size of Cyprus's collective banks by approximately EUR 23.9 billion (147% of GDP) (CBC 2013i; CBC 2013h; EC 2013, 7; Hardouvelis 2016, 247).

2. Part of a Package: The bank holiday was one of the tools used by Cypriot authorities to address two failing banks so that it could negotiate a EUR 10 billion

⁴ Sources differ in the number of days attributed to the bank holiday, it lasted from March 18 to March 28 (10 days), however March 18 and March 25 were national holidays, so some sources don't include these days in the length of the holiday, nor the weekend of March 23–24, reporting the length of the holiday as six days.

financing package with the troika. Other elements were resolution of Laiki Bank, restructuring of the BoC and verification of its solvency, and capital controls.

After the Cypriot House of Representatives decided not to adopt the government's proposal for the one-off deposit tax agreed with the Eurogroup on March 16, an alternative plan was reached during the bank holiday, on March 25. The new plan called for the resolution of Laiki Bank, the transfer of Laiki Bank's insured depositors to the BoC, and the bail-in of Laiki Bank and BoC's uninsured depositors, whose accounts were effectively frozen (EC 2013, 43–44; ESM 2013; IMF 2014, 35).

Following the BoC's restructuring and recapitalization, the European Stability Mechanism (ESM) reported that the bank was adequately capitalized with a Common Equity Tier 1 capital ratio of 12% (the minimum was 9%). Although the bank holiday was lifted before this report, Cypriot authorities kept capital controls in place for two years, lifting them in April 2015 (ESM 2013; CBC 2014, 32; Kambas 2015; Politico 2015).

When the banks reopened, Cyprus implemented deposit withdrawal restrictions and capital controls to avoid "excessive liquidity outflows" (EC 2013, 43). The objective of these controls was to allow current transactions for goods and services inside and outside the country but limit capital transactions. The CBC and local and state authorities were exempt from these measures. The capital controls were initially implemented for seven days but were prolonged and revised eleven times in the following months, withdrawal restrictions were lifted in March 2014, but other restrictions remained in effect until April 2015 (CBC 2013a; CBC 2013j; CBC 2014; EC 2013).

The initial capital controls and withdrawal restrictions included:

- Cash withdrawals could not exceed EUR 300 daily per person per credit institution (if the maximum amount was not drawn on a given day it could be withdrawn later);
- Cashing checks was prohibited;
- Payments for trade transactions up to EUR 5,000 per day per account were unrestricted, from EUR 5,001 to EUR 200,000 were subject to approval, and beyond EUR 200,001 needed prior authorization;
- Payments or transfers outside of Cyprus could not exceed EUR 5,000 per person per month for each credit institution;
- Cashless payments or transfers of deposits to accounts held abroad or in other credit institutions were prohibited;
- Fixed-term deposits could not be terminated prior to their maturity unless the funds were used to repay a loan within the same credit institution;

- Exports of EUR notes (or foreign currency) could not exceed EUR 1,000 (or its equivalent in foreign currency) per person per journey abroad;
- On the first maturity of fixed-term deposits, EUR 5,000 or 10% of the total capital (whichever is highest) could be transferred to a current account or deposited in a new fixed-term deposit in the name of the depositor in the same credit institution. For the remaining amount the maturity would be extended for a month;
- Payments of salaries, new funds transferred from abroad, withdrawals of cash using cards issued by foreign institutions on accounts abroad, cashing checks issued on accounts held with foreign institutions abroad, and cash withdrawals from accounts of credit institutions with the CBC were exempt from restrictions (CBC 2013a).

3. Legal Authority: The Cyprus Bank Holiday Law and the Central Bank of Cyprus Law gave the central bank the authority to initiate the bank holiday; the parliament passed the Enforcement of Restrictive Measures on Transactions in Case of Emergency Law of 2013, which gave the Finance Ministry the authority to impose restrictions on deposit withdrawals and other transactions.

The Cyprus Bank Holidays Law of 1959 defined bank holidays, identified standing bank holidays, and gave the governor of the CBC the power to declare additional bank holidays. The law gave the governor the right to appoint, by proclamation, any day to be observed as a bank holiday. Any additional bank holidays the governor announces are defined the same way as preexisting bank holidays (Government of Cyprus 1959).

The CBC also had the authority to suspend the operations of Cypriot banks per article 48(3) of the Central Bank of Cyprus Law, 2002. This gave it the authority to temporarily prohibit the placement of payments or transfer of funds and suspend payment systems operations, as it did on March 16, 2013 (Republic of Cyprus 2022).

During the bank holiday, the Cypriot parliament passed the Enforcement of Restrictive Measures on Transactions in Case of Emergency Law of 2013 on March 27. This law gave the Minister of Finance the ability to implement temporary administrative restrictions on financial transactions. The parliament passed other laws endowing the CBC with new powers as the resolution and supervisory authority in Cyprus in ensuring price stability and supporting the general economic policy of the government (CBC 2013a; CBC n.d.; EC 2013; Cyprus 2013).

4. Administration: During the bank holiday, the CBC took over decision making for Laiki Bank and BoC.

During the bank holiday, the CBC was heavily involved with the banks, coordinating the resolution of Laiki Bank, the restructuring of the BoC, and freezing the uninsured depositors of both banks. The CBC appointed special administrators for Laiki Bank and BoC during the

resolution and restructuring. The CBC is also the supervisory authority for Cypriot banking operations (CBC 2013h; CBC n.d.; EC 2013; Noonan 2013).

5. Governance: The CBC initiated the bank holiday, and the Ministry of Finance and CBC coordinated the reopening of the banks.

The CBC announced the initial bank holiday on March 18 and the subsequent extensions on March 20 and March 25 (CBC 2013b; CBC 2013c; CBC 2013d; CBC 2013e; CBC 2013f). The March 25 announcement included the reopening date for the banks. The reopening date was decided by the finance minister with the recommendation of the governor of the CBC. The Ministry of Finance also put out an announcement specifying the capital controls that would be in place when the banks reopened (MoF n.d.).

6. Communication and Disclosure: On March 16, the president of Cyprus and the Eurogroup announced a one-time tax on all depositors causing depositors to run on the banks.

On March 16, the Eurogroup released a statement regarding the one-time tax on deposits and the following day the president of Cyprus made a televised statement regarding the decision. In his statement the president said that the decision to tax depositors was made to avoid a disorderly bankruptcy of the country (Calamur 2013; Eurogroup 2013a; Reuters News n.d.). As ATMs emptied following the announcement of this controversial plans, the CBC initiated the bank holiday to prevent further bank runs. The CBC made three announcements extending the bank holiday and at the end of the bank holiday, both the CBC and the Ministry of Finance put out announcements specifying the details of the deposit withdrawal restrictions and capital controls (applicable to all banks) and the details of the resolution of Laiki Bank and restructuring of the BoC that would apply when the banks reopened (CBC 2013b; CBC 2013c; CBC 2013d; CBC 2013e; CBC 2013f; CBC 2014; MoF n.d.).

The announcement regarding Laiki Bank and BoC restructuring clarified that BoC was not being liquidated and that the resolution process applied only to the two banks: “The rest of the Cypriot banking system is not affected by the resolution process nor by the decisions of the Eurogroup” (CBC 2013g). The CBC announcement regarding the capital controls stated with respect to their purpose that “to safeguard the stability of the Cypriot banking system, it was deemed necessary to implement interim restrictive measures, which will gradually be lifted upon assessment of the situation” (CBC 2013a).

7. Details of Holidays, Suspensions, or Gates: Bank holidays are defined in the Cyprus Bank Holiday Law as nonbusiness days for the banks.

The bank holiday lasted from March 18 to 28, a 10-day period that included two national bank holidays and a weekend. The Cyprus Bank Holiday Law of 1959 defines bank holidays as nonbusiness days for all Cypriot banks; however, bills of exchange, promissory notes, and other negotiable instruments that are due and payable on the holiday are still payable on the holiday. This definition applies to regular national bank holidays and additional bank holidays announced by the governor of the CBC (Government of Cyprus 1959).

During the bank holiday, banks were closed and business generally halted with the exception of permitted “essential payments” (see Key Design Decision No. 8, Treatment of Depositors or Investors). However, ATMs were operational subject to normal withdrawal limits, except that Laiki Bank imposed a withdrawal limit of EUR 260 per day (EC 2013).

Exiting the bank holiday the CBC kept some restrictions in place:

- Cash withdrawals could not exceed EUR 300 daily per person per credit institution (if the maximum amount was not drawn on a given day it could be withdrawn later);
- Cashing checks was prohibited;
- Fixed-term deposits could not be terminated prior to their maturity unless the funds were used to repay a loan within the same credit institution (CBC 2013a).

8. Treatment of Depositors or Investors: During the bank holiday, depositors were able to use ATMs but not to conduct electronic transfers; capital controls and deposit withdrawal restrictions applied after the holiday ended. All insured depositors (accounts up to EUR 100,000) were protected, while uninsured depositors of Laiki Bank and BoC were frozen and ultimately bailed in.

Two Cypriot banks had solvency issues going into the bank holiday, Laiki Bank and BoC. After the Cypriot House of Representatives decided not to adopt the government’s proposal for the one-off deposit tax (6.75% on insured deposits and 9.9% on uninsured deposits) agreed with the Eurogroup on March 16, an alternative plan was reached on March 25. Cypriot authorities resolved Laiki Bank and had the BoC absorb the Laiki Bank insured depositors. The BoC was also recapitalized through the bail-in of its uninsured depositors (ESM 2013).

During the holiday all payments and transfers within a banking group and interbank transactions were prohibited, except for “essential payments” (EC 2013, 43). “Essential payments” included systemically relevant payments (meaning a risk of default for the credit institution or further harming financial stability existed if such payment were not to be made), salary payments, payments for food, oil, and tuition fees, and payments by government services for humanitarian reasons (EC 2013, 43). Additional cash withdrawal limits were imposed on Laiki Bank and BoC, but the specific terms of these are not clear.

Research is unclear with respect to the status of ATM operations during the bank holiday. However, three things are certain:

- ATMs were open;
- There were runs on ATMs, which ran out of cash;
- There were limits on withdrawals from ATMs.

According to the EC, ATM withdrawals were normally subject to certain limits agreed with the bank and these applied during the bank holiday. One exception was Laiki Bank, which decided to impose a withdrawal cap of EUR 260 per day. Multiple sources reported other limits on ATM cash withdrawals ranging from EUR 100 to EUR 700 (EC 2013; Hardouvelis 2016; Reuters 2013a; 2013b; WSJ 2013).

9. Verification of Solvency: The two largest banks were stressed going into the bank holiday, one was resolved and the other restructured, exiting restructuring that bank reported being adequately capitalized.

Two Cypriot banks had solvency issues going into the bank holiday. Cyprus resolved one of the banks and had the second bank, the BoC, absorb the insured depositors of the other bank. The BoC was also recapitalized through the bail-in of its uninsured depositors. Following its restructuring and recapitalization the ESM reported the BoC was adequately capitalized with a Common Equity Tier 1 capital ratio of 12% (the minimum was 9%) (ESM 2013).

10. Other Conditions: Cypriot authorities essentially had control over the decision making of Laiki Bank and BoC during the bank holiday, and both boards either stepped down or were removed.

Research has not revealed other conditions that were applicable to all Cypriot banks. However, the CBC appointed special administrators for Laiki Bank and BoC and essentially had complete control over the banks, during the bank holiday and resolution and restructuring. When the Cypriot authorities put Laiki Bank through resolution, all of its directors resigned. As part of the restructuring of the BoC, the CBC removed the board of directors and senior management of the BoC from their posts (CBC 2013h; CBC 2022; Noonan 2013).

11. Exit Strategy: When the bank holiday began, there was no specified end date. The holiday continued until a new stabilization plan was negotiated for the two troubled banks and deposit withdrawal restrictions and capital controls were put in place at the end of the bank holiday in March 2013 to prevent excessive liquidity withdrawals. The capital controls were not finally terminated until 2015.

Going into 2013, Cypriot authorities were seeking help from the troika due to solvency concerns at its two largest banks. They reached an initial agreement on March 16, which the Eurogroup and the president announced; this agreement was quite controversial and sparked runs on the Cypriot banking system (CBC 2013i; Noonan 2013; O'Brien 2013). To stop the runs the CBC announced a bank holiday for two days. The CBC extended this thrice more, only announcing the reopening of the banks in the third extension after authorities had negotiated with the troika a new stabilization plan for the banks, which secured financing through an economic adjustment program (CBC 2013c; CBC 2013d; CBC 2013e; CBC 2013f). The CBC announced the new arrangement, which did not include the one-time stabilization tax on all deposits, on March 25, the same day it announced the final extension of the bank holiday and the banking system's reopening on March 28 (CBC 2013f; CBC 2013g; Eurogroup 2013b). The Ministry of Finance and the CBC announced deposit withdrawal

restrictions and capital controls when the bank holiday lifted. The capital controls were extended and revised 11 times from March to May of 2013, and some capital controls were still in effect at the end of 2013 (CBC 2013a; CBC 2013j; CBC 2014; MoF n.d.). The government eventually lifted the capital controls in April 2015 (Kambas 2015; Politico 2015).

12. Regulatory Changes: Our research did not reveal any additional changes to regulations.

Research has not revealed additional changes to regulation.

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